



FinMango Fall 2022 Final Deliverable

Pivoting Towards Financial Health

SEED
CONSULTING



SEED CONSULTING TEAM



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Company Overview

How has FinMango pivoted their brand and mission over the past year?



THE NEW FINMANGO



Phasing out B2C components and pivoting towards the financial health sector



Seeks to become first organization with a leading focus on financial health



Introducing the first universal financial health tool to the market





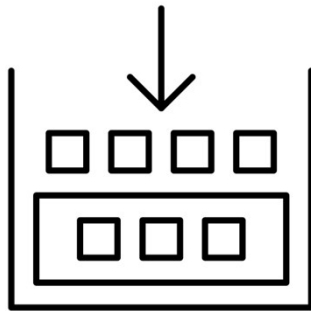
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Project Overview

How has SEED helped FinMango accomplish their vision this semester?



Analyze existing regional financial health frameworks



Compile metrics and guidelines from accredited studies and documents

Central Goal:

Conduct research to help FinMango develop a first-of-its-kind universal financial health tool



Survey disparities in financial health among different populations

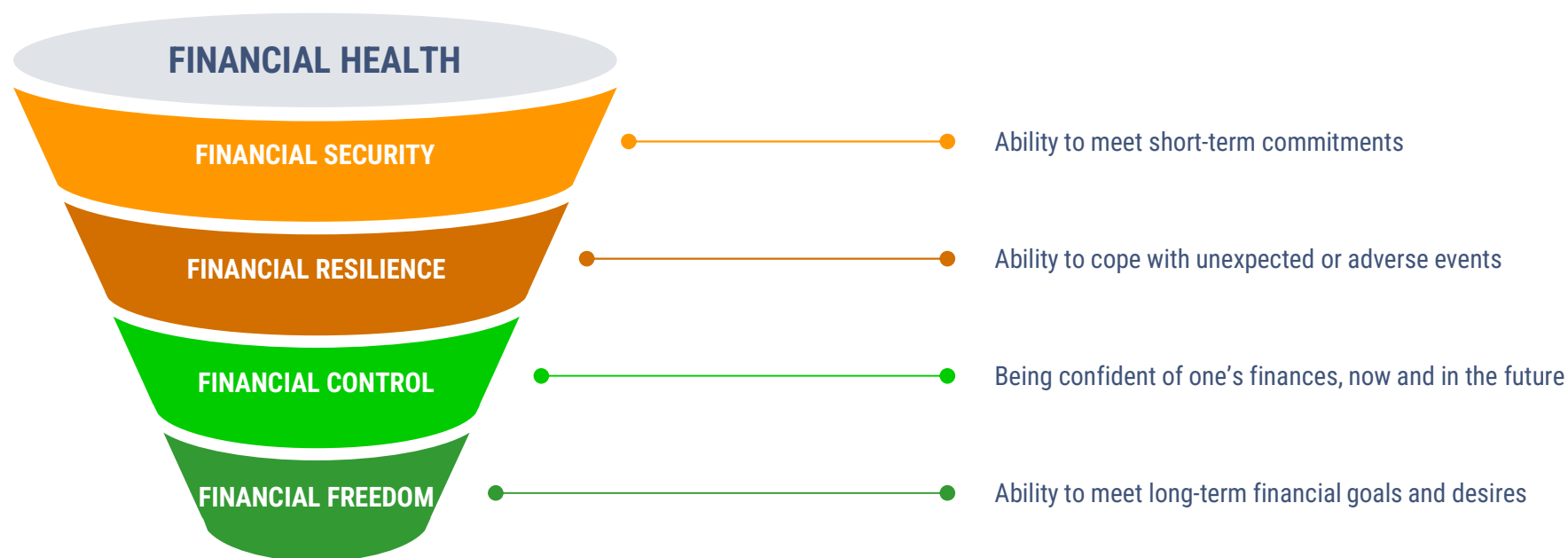


Financial health or wellbeing is the extent to which a person or family can smoothly manage their current financial obligations and have confidence in their financial future

Working definition of financial health drawn from UNSGSA



MAKINGS OF FINANCIAL HEALTH



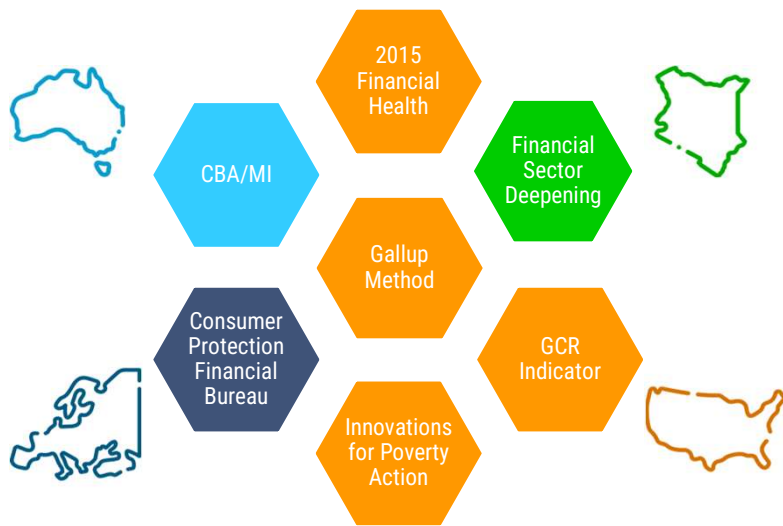


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Summary of Existing Frameworks

What financial health tools already exist, and what can we learn from them?

We looked at **7**
existing frameworks...



From **4** different
regions

Similarities in:

- Use of subjective individual-driven data collection
- Focus on causes and drivers of Financial health

Differences in:

- Use of Big-Data Derived Financial Records
- Groups Targeted: Refugees, Third-World Areas, Developed Western Nations

WE FOUND

Strengths

- Causal data allows for analysis over time and predictive elements
- Analysis of financial situations in developed, settled environments

Drawbacks

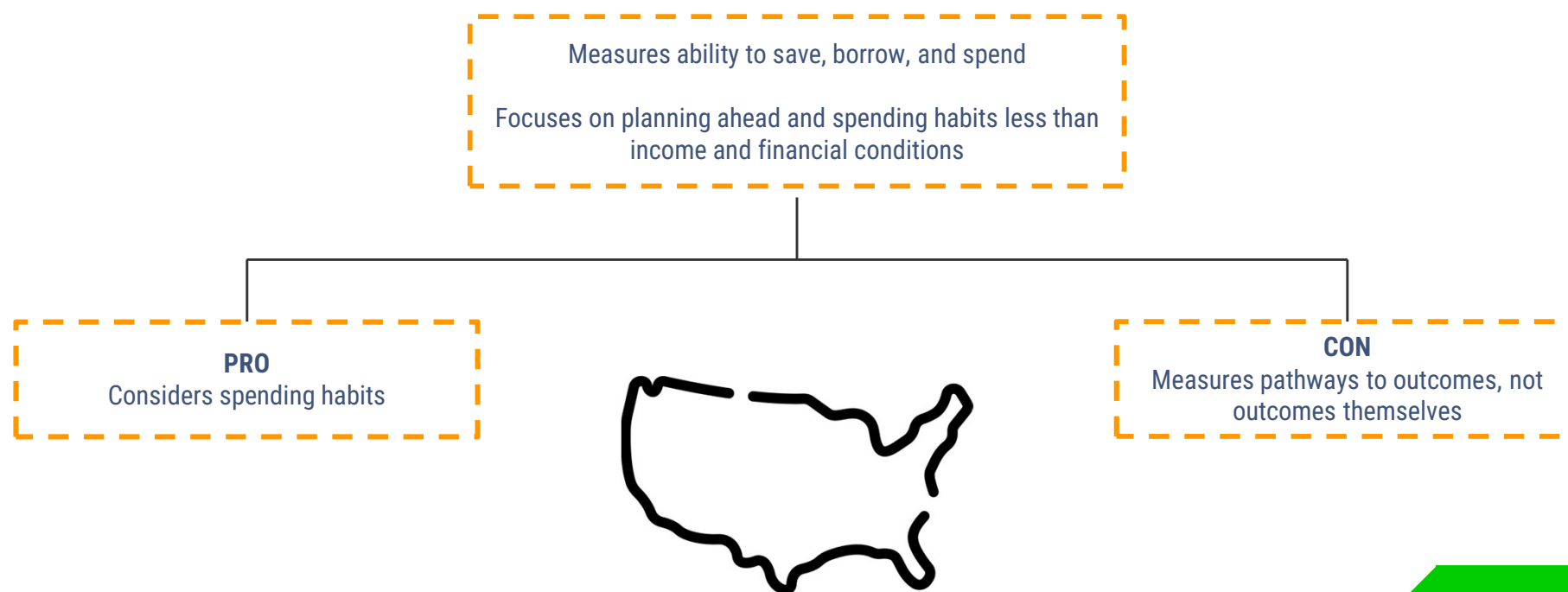
- Reliance on either overly subjective or intensely invasive data
- Analysis of financial situations in exceptional, developing situations
- Consistent Global applicability

WE TOOK AWAY:

Existing financial metrics have provided key foundational processes, but the lack of a globalized, non-invasive, broadly applicable metric leaves a large market for FinMango.

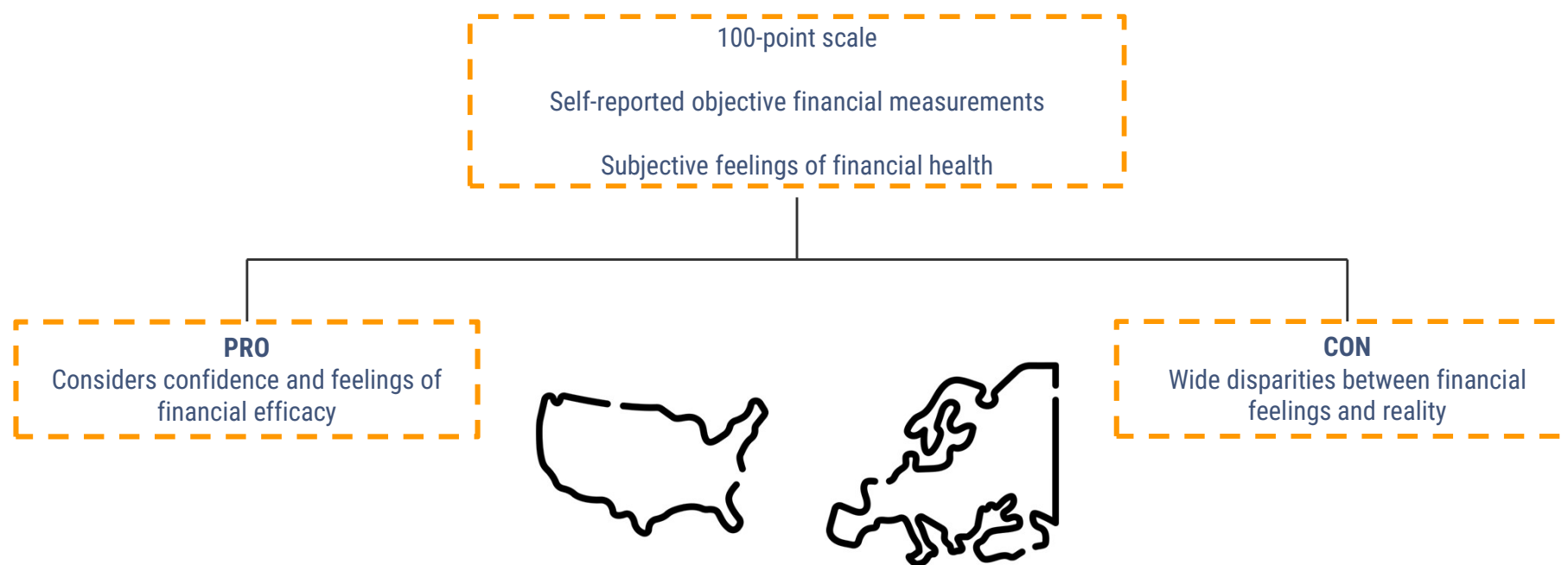


2015 FINANCIAL HEALTH FRAMEWORK



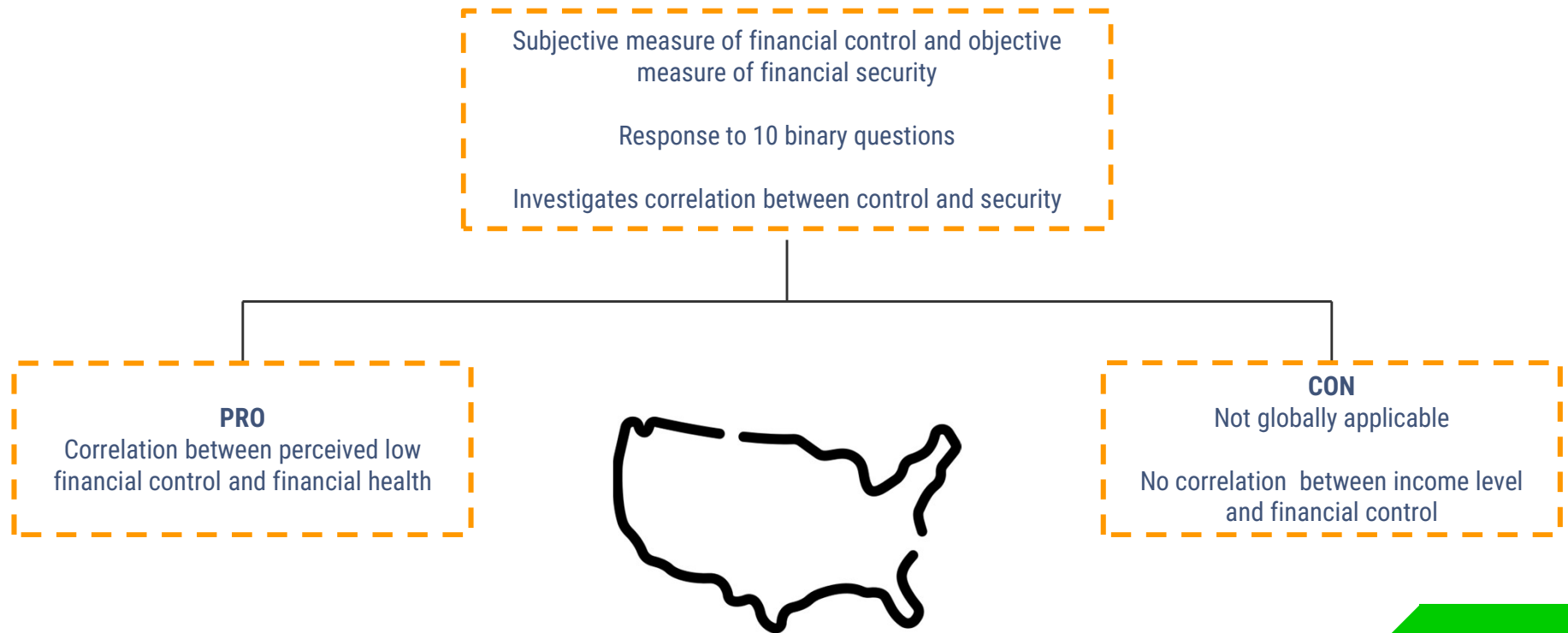


CONSUMER PROTECTION FINANCIAL BUREAU FRAMEWORK





GALLUP METHOD FRAMEWORK





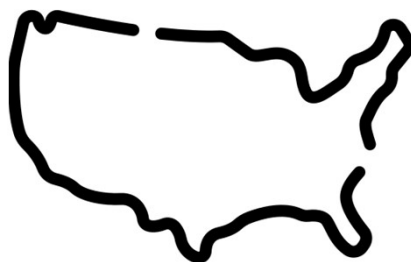
GCR INDICATOR FRAMEWORK

- Generalized framework predicated on four objectives:
- Easing pressure on host countries
 - Enhancing refugee self-reliance
 - Expanding access to third country solutions
 - Supporting conditions in countries of origin for return in safety and dignity

PRO

Excellent for demonstration of causes of financial issues rather than only results

Comparable globally



CON

Data-centric, invasive

At times inapplicable due to its breadth



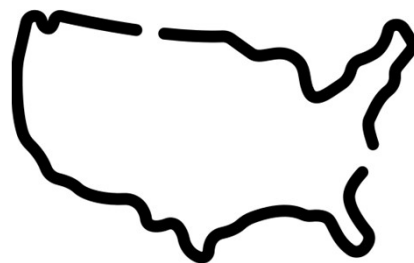
INNOVATIONS FOR POVERTY ACTION FRAMEWORK

GCR framework questions work around big, aggregated data (Ex. "Percentage of target population living below the national poverty line")

PRO

Gives a local scale and context to the issue

Simple and effective measure of basic financial independence



CON

Big data drives accuracy

Collection can be hindered by legal/government disputes



CBA/MI FRAMEWORK

Two-part survey containing subjective financial health feelings and transactional data

Part one has 10 question about status, security, wellbeing

Part two uses customer transaction data

PRO

Subjective measures complemented with objective numbers



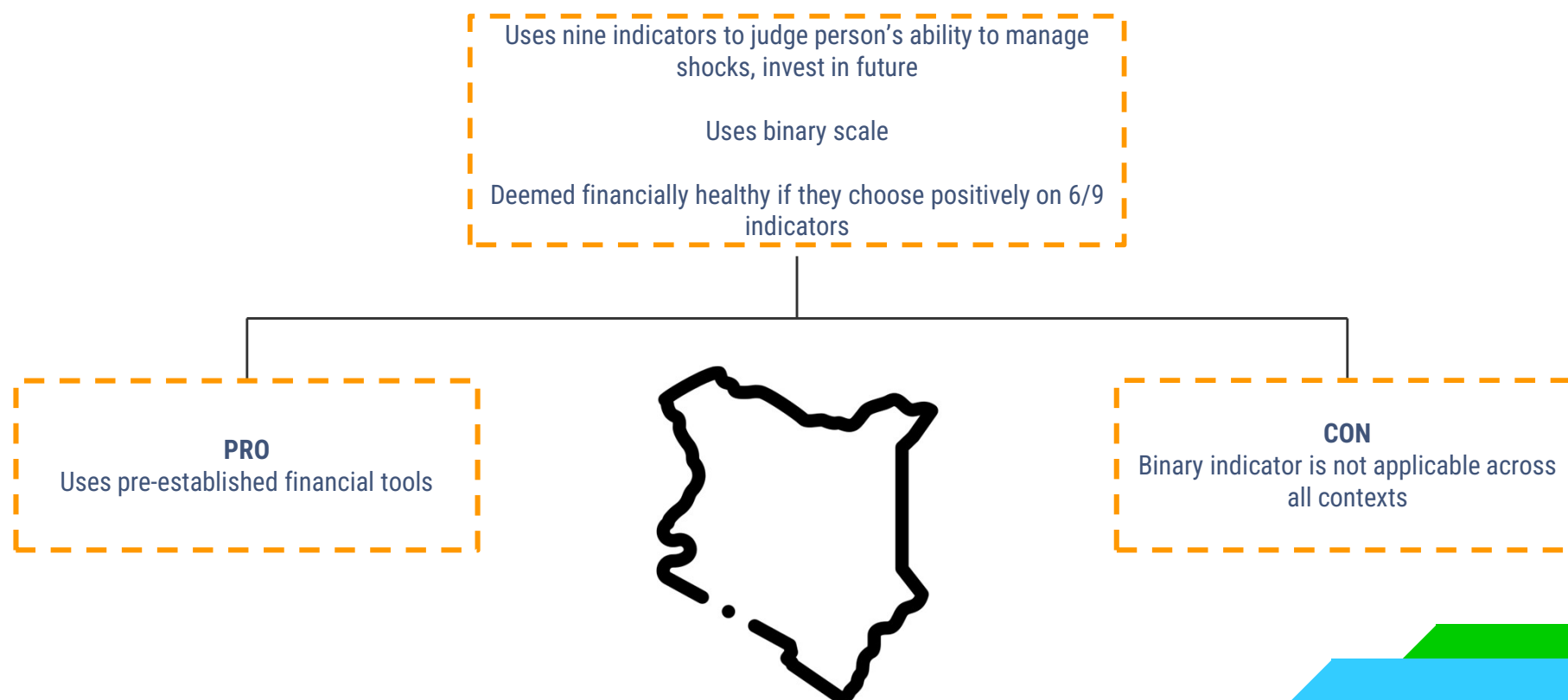
CON

Difficult to expand beyond Australia

Transactional data is hard to come by



FINANCIAL SECTOR DEEPENING FRAMEWORK





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Summary of UN Guidelines

How has the UN defined, studied, and measured financial health?



UNSGSA RESEARCH



Financial Health: An Introduction for Financial Sector Policymakers

UNSGSA Financial Health Working Group

- "To truly impact humans through financial health research and implementation we must implement **policy** at a **systemic level** - that is one thing that has been evident throughout all research."



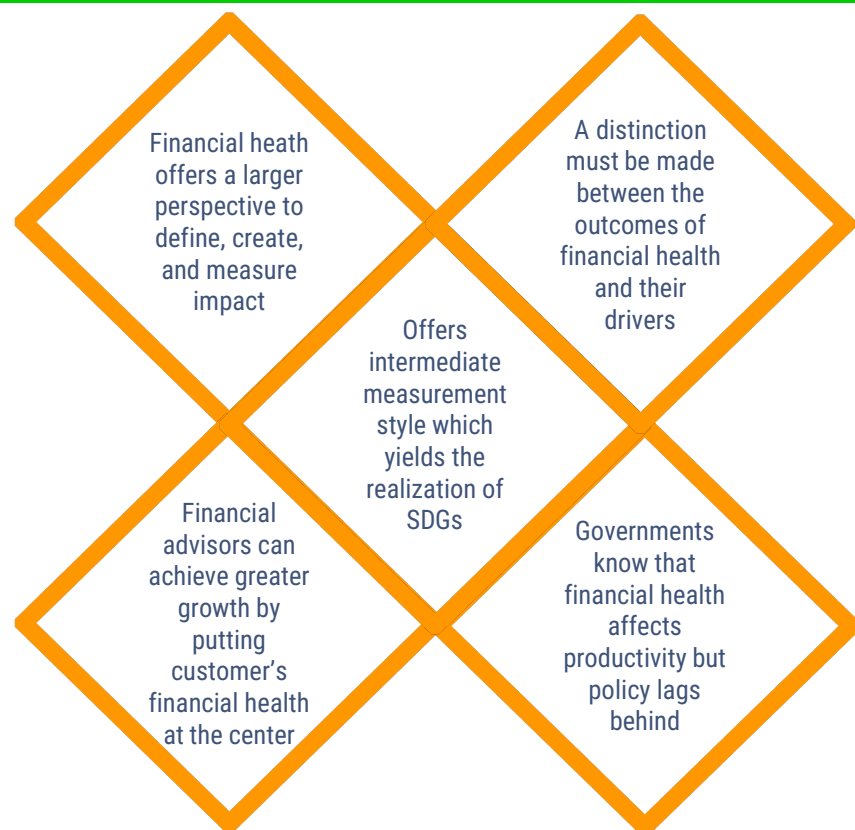
Measuring Financial Health: Concepts and Considerations

UNSGSA Financial Health Working Group

- - ~ Building kit of questions to ask and how to ask them
 - ~ Data driven vs personalized, single score vs multiple result
 - ~ Contains past frameworks, metrics used by governments, companies

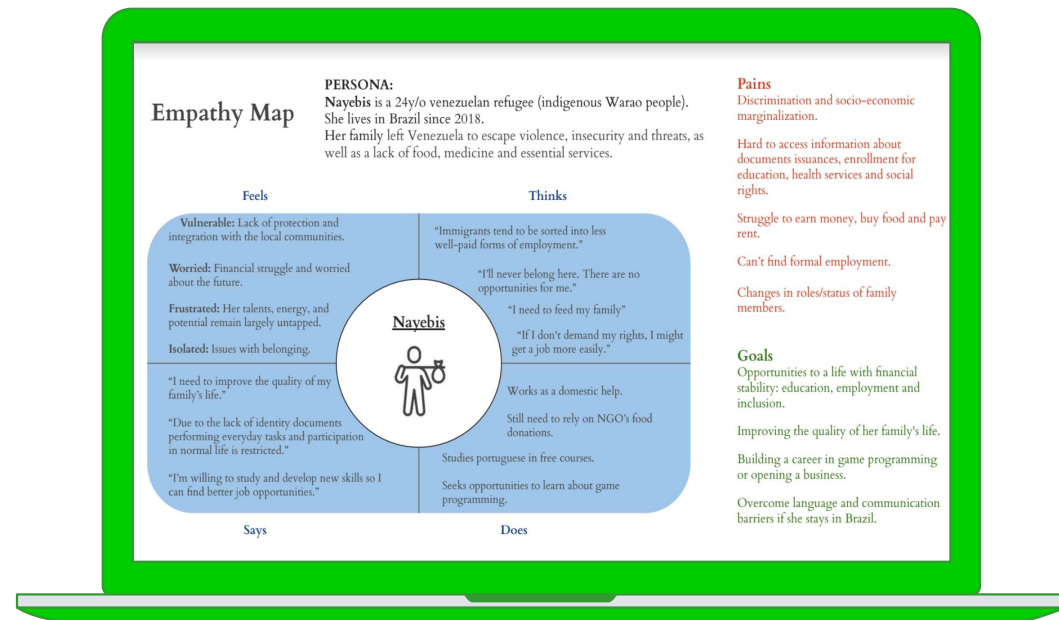


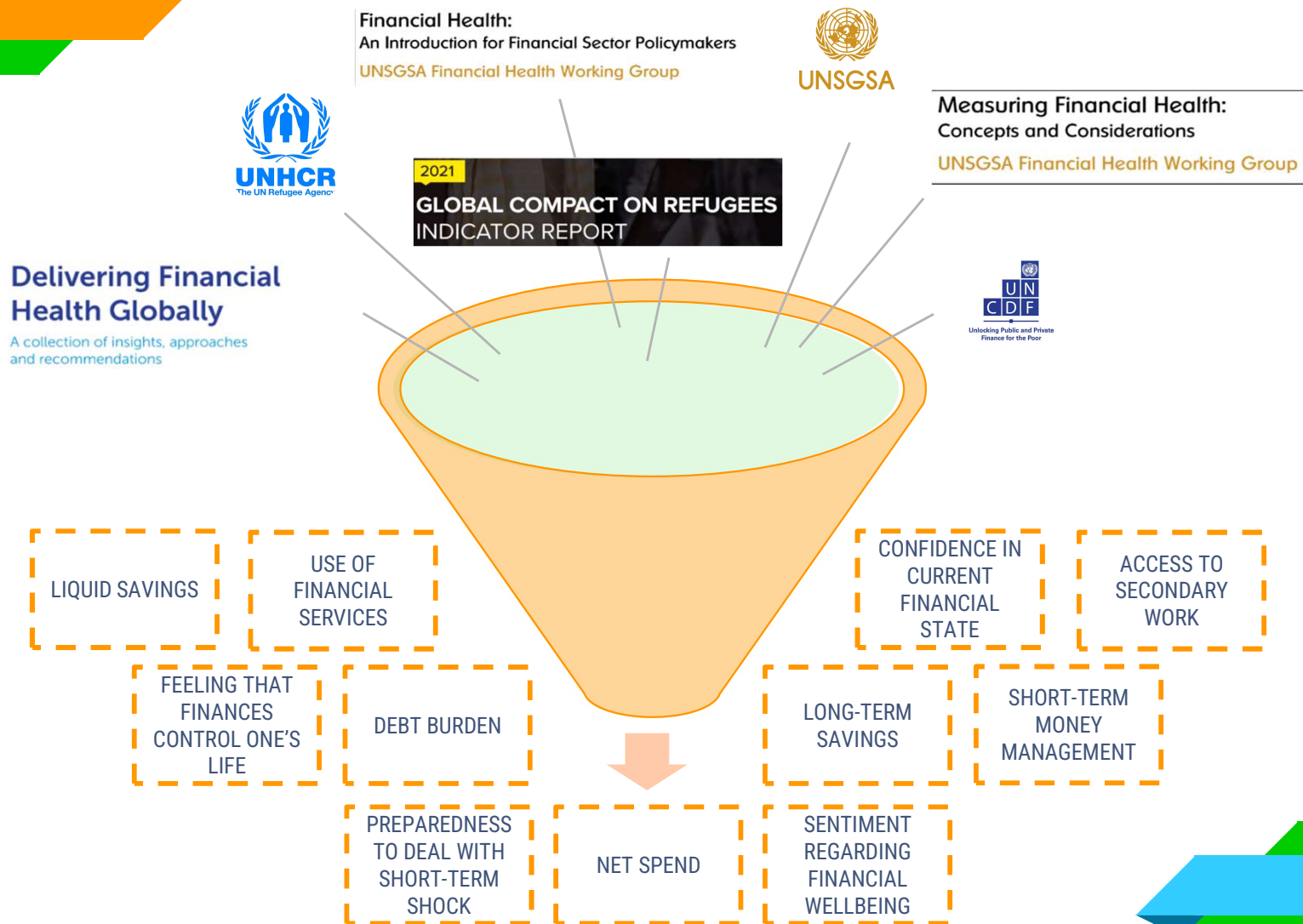
DELIVERING FINANCIAL HEALTH GLOBALLY



MARKET RESEARCH ON AMAZON REFUGEES

Empathy Map







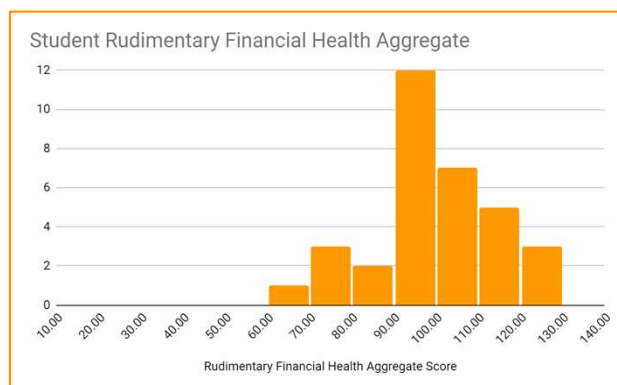
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Financial Health Metric Analysis

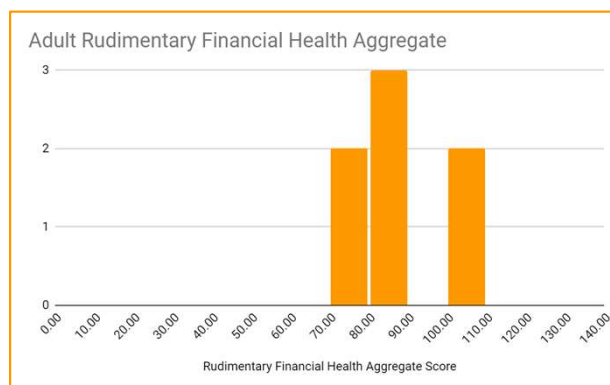
What metrics can we use to create a universal financial health tool? (metrics sourced from UNSGSA)



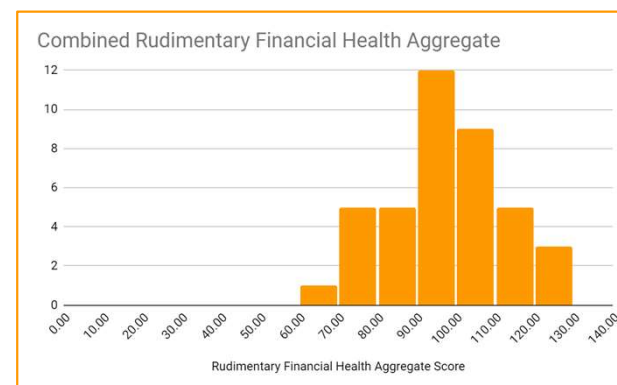
RUDIMENTARY FINANCIAL HEALTH AGGREGATE SCORE



Mean: 99.73 (71.24%)
Median: 99 (70.71%)
Range: 66



Mean: 87.29 (62.35%)
Median: 81 (57.86%)
Range: 34



Mean: 97.55 (69.68%)
Median: 98.5 (70.36%)
Range: 66

Rudimentary Financial Health Aggregate Score is calculated by adding each individual score from all 14 questions. The questions are written so that a higher score signifies higher financial health.

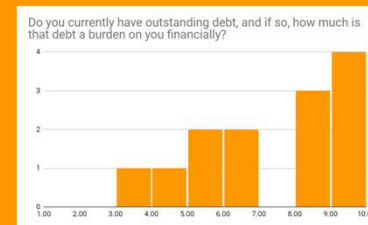


DEBT BURDEN

Definition How much an individual owes an organization or group.

Question Do you currently have outstanding debt and if so, how much is that debt a burden on you financially?

Response Mean: 8.9
Median: 10





PREPAREDNESS TO DEAL WITH SHORT-TERM SHOCKS

Definition

An individual's potential resilience

Question

If you were to experience financial shock (layoff, rent hike, etc.), how prepared are you currently to deal with that shock?

Response

Mean: 6.5

Median: 7





SENTIMENT REGARDING FINANCIAL WELLBEING

Definition An individual's subjective feelings about their financial situation

Question Do you feel positively about your financial well-being?

Response Mean: 7.3
Median: 8



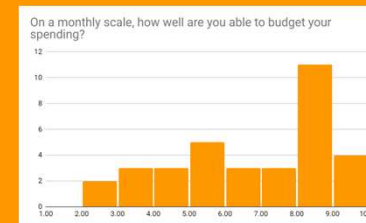


SHORT-TERM MONEY MANAGEMENT

Definition An individual's ability to budget on the short-term (e.g., monthly)

Question On a monthly scale, how well are you able to budget your spending?

Response Mean: 6.8
Median: 8





USE OF FINANCIAL SERVICES

Definition

An individual's use of financial services (utilizing insurance, credit card services, wealth management firms, etc.)

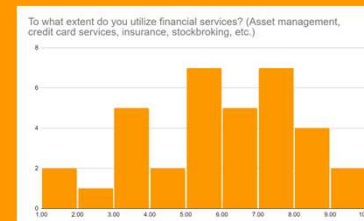
Question

To what extent do you utilize financial services (asset management, credit card services, insurance, stockbroking, etc.)

Response

Mean: 6

Median: 6



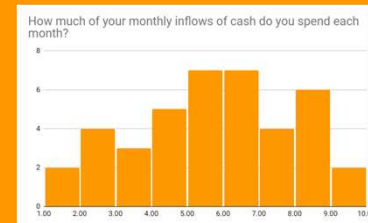


NET SPEND

Definition Monthly measure of all inflows to an account divided by monthly outflows

Question How much of your monthly inflow of cash do you spend each month?

Response Mean: 5.25
Median: 5



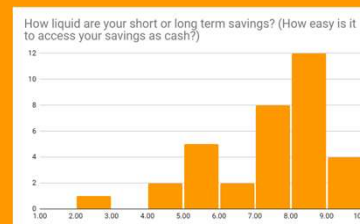


LIQUID SAVINGS

Definition Short- or long-term savings that can easily be accessed and turned into cash

Question How liquid are your short- or long-term savings? (How easy is it to access your savings as cash?)

Response Mean: 7.38
Median: 8





FEELING THAT FINANCES CONTROL ONE'S LIFE

Definition A subjective measure of an individual's feeling that their life is controlled by their financial situation

Question Do you feel like finances control your life?

Response Mean: 6.15
Median: 7



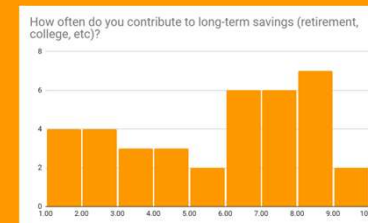


LONG-TERM SAVINGS

Definition Quantity of savings reserved for purchases that are expected within at least five years

Question How often do you contribute to long-term savings (retirement, college, etc.)?

Response Mean: 5.63
Median: 6





ACCESS TO SECONDARY WORK

Definition The measurement of an individual's flexibility and security in the form of having guaranteed income streams

Question How much do you worry about losing your job because of institutional issues (identification papers, bias due to race/gender, inability to learn advancement skills, etc.)?

Response Mean: 8.85
Median: 10



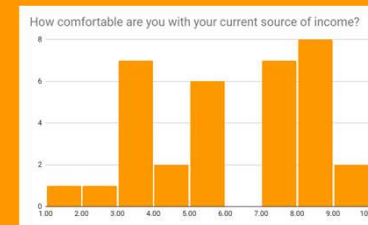


CONFIDENCE IN CURRENT FINANCIAL STATE

Definition How an individual feels about their own finances which is important as it gauges the person's own feelings on their financial health

Question How comfortable are you with your current source of income?

Response Mean: 6.33
Median: 7



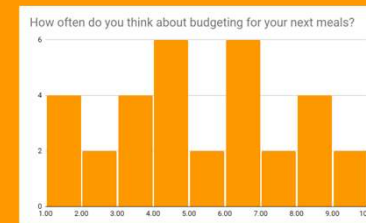


PLANNING FOR FUTURE EXPENSES (FOOD)

Definition How an individual plans for the future is an essential character of financial health. Food is a known necessity providing a glimpse of predetermined planning.

Question How often do you think about budgeting for your next meals?

Response Mean: 5.48
Median: 5.24



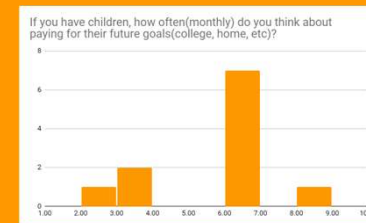


PLANNING FOR FUTURE EXPENSES (CHILDREN)

Definition How an individual plans for the future is an essential character of financial health. Education planning gives a glimpse of the values of the interviewee.

Question If you have children, how often do you think about paying for their future goals (college, home, etc)?

Response Mean: 9.3
Median: 10





PERCENTAGE OF TARGET POPULATION WITH NATIONALLY RECOGNIZED CREDENTIALS

Definition

Right-to-work credentials are vital for refugees' future financial stability. It predicates any saving, planning or education, and indicates future advancement possibilities.

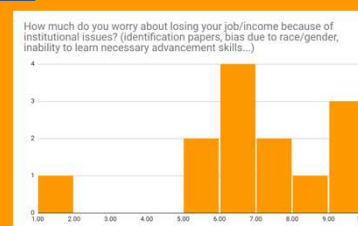
Question

How much do you worry about losing your job/income because of institutional issues? (identification papers, bias due to race/gender, inability to learn necessary advancement skills...)

Response

Mean: 9.39

Median: 10



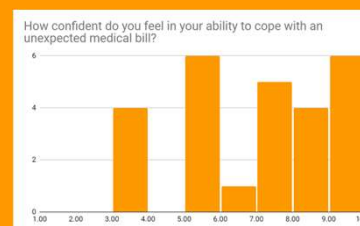


PERCENTAGE OF TARGET POPULATION WITH THE ABILITY TO COPE WITH RISK

Definition While risk is hard to measure in the abstract, a good real-world example comes in the form of preparedness to deal with unexpected medical issues.

Question How confident do you feel in your ability to cope with an unexpected medical bill?

Response Mean: 8.06
Median: 9



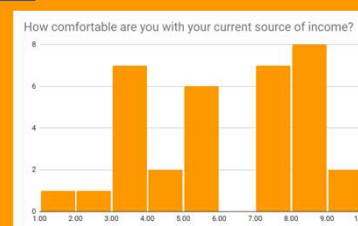


PERCENTAGE OF TARGET POPULATION WITH ACCESS TO SECONDARY WORK

Definition Secondary work is an important safety valve for financial security and encompasses any income-boosting activities outside of "primary" employment.

Question How comfortable are you with your current source of income?

Response Mean: 6.59
Median: 7





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Conclusion

Wrapping up a great semester!



FUTURE PLANS

New Rubric

- Further research financial health
- Focus on impact of each financial health category

Brazilian Refugees

- Obtain responses and compare with current data
- Refine metrics/forms

UNCHR

- Partnership with UNCHR (potential SEED co-client)
- Contact with UNSGSA



THANK YOU!

Any questions?